

The volume trend in this chart pattern (see the figure) is downward with the largest concentration of high volume on the first bottom. The center bottom has subdued volume and is even lower on the third bottom in early October. Volume spikes upward as price rises to the confirmation point in mid-November.

Breakout direction, confirmation. In the triple bottom shown in the figure, price rises from the low of about 35 to the confirmation line just over 40. The confirmation line is the highest high reached between the three bottoms. It serves as the breakout point, the point to which price must *close above* before any three minor lows become a true triple bottom.

Focus on Failures

Once price reaches the confirmation line, it usually has been rising for about 3 weeks on average since the third bottom. Price often pierces the resistance line but doubles back, hesitating before continuing up.

In some cases, price rises above the confirmation point by less than 5% before throwing back and continuing down. When that happens, it is called a 5% failure. In this study of triple bottoms, all chart patterns must stage an upward breakout (a close above the highest high in the chart pattern) before being labeled a triple bottom. Since all patterns have upward breakouts, only 5% failures remain to wipe the warm glow of a successful investment from a novice investor's face. [Figure 67.3](#) shows an example of such a failure.

This is a triple bottom because price closes above the confirmation line in mid-September, confirming the three bottoms as belonging to a triple bottom. But the rise is brief—only 1 day has a close above the confirmation line before price tumbles.